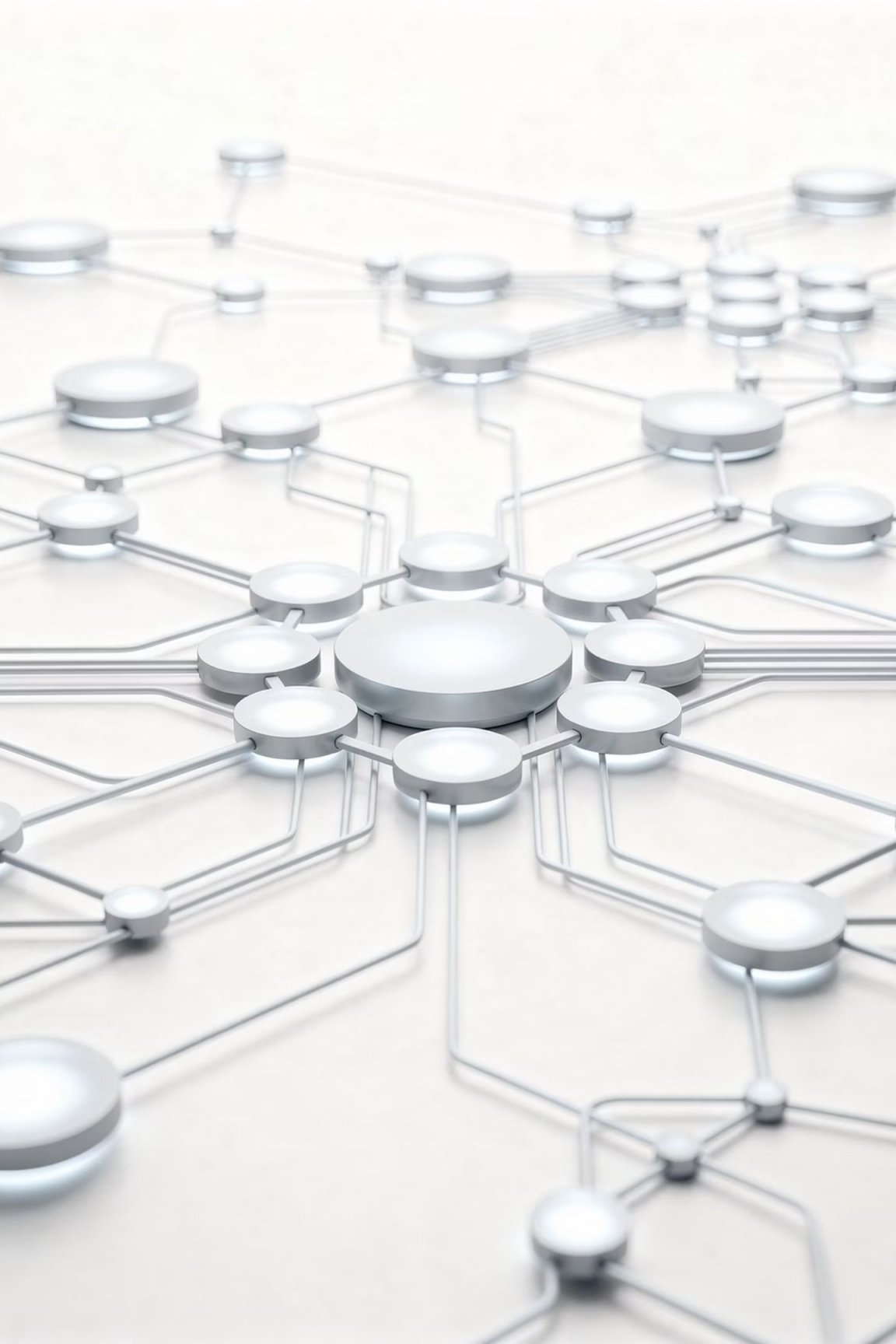




EPOCH DIGITAL

EPOCH DIGITAL INFRASTRUCTURE FUND

**HIGH YIELD ON-CHAIN
INFRASTRUCTURE WITH
ASYMMETRIC UPSIDE**

Confidential - 2026

DeFi is a Platform Shift.

Not a trade. Not a trend.

An infrastructure replacement.

Epoch 0 is the point where new infrastructure is born.

We invest at the emergence of this platform shift, capturing structural value as the legacy financial system migrates to its permanent, on-chain foundation.



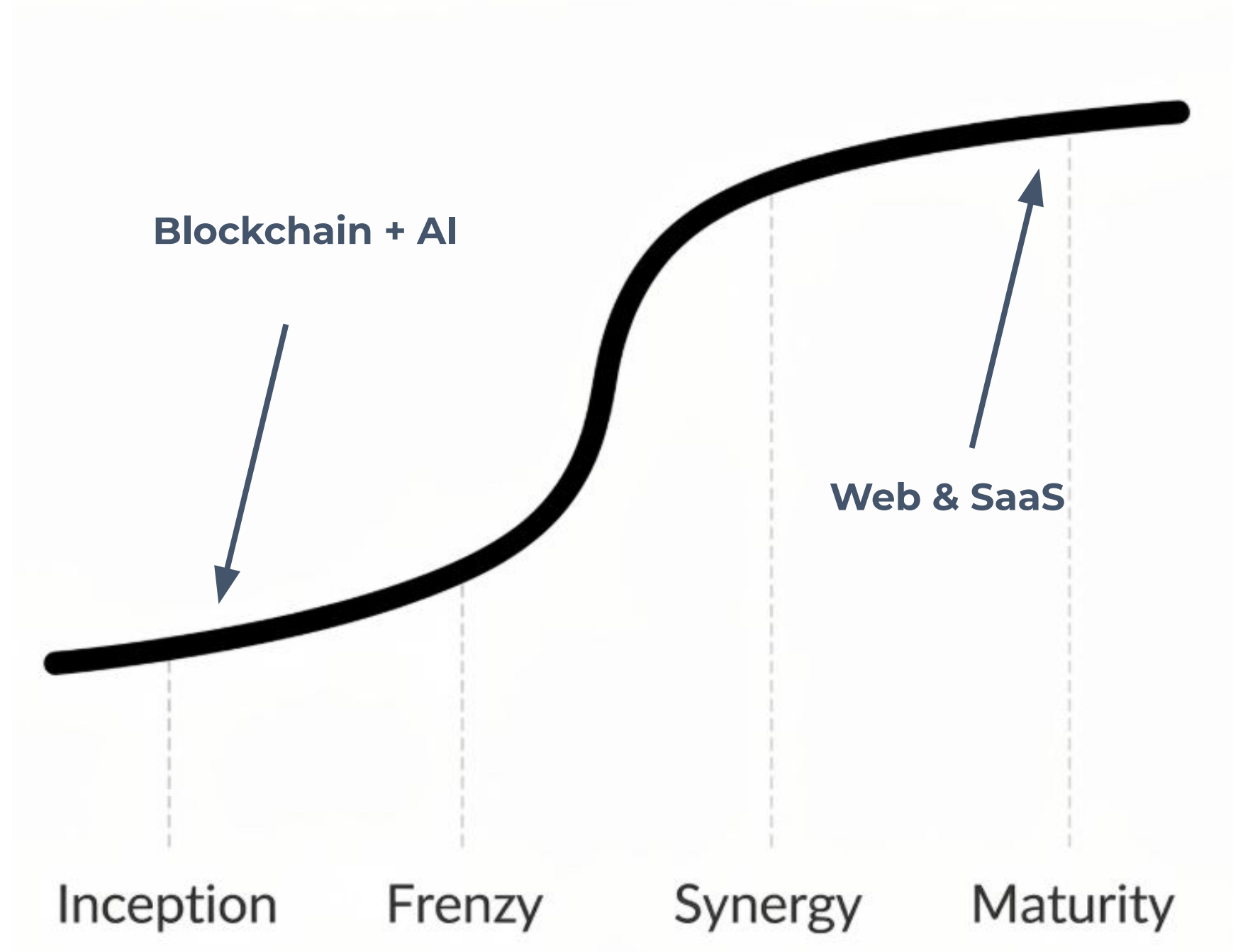
Installation Period

>

Deployment Period

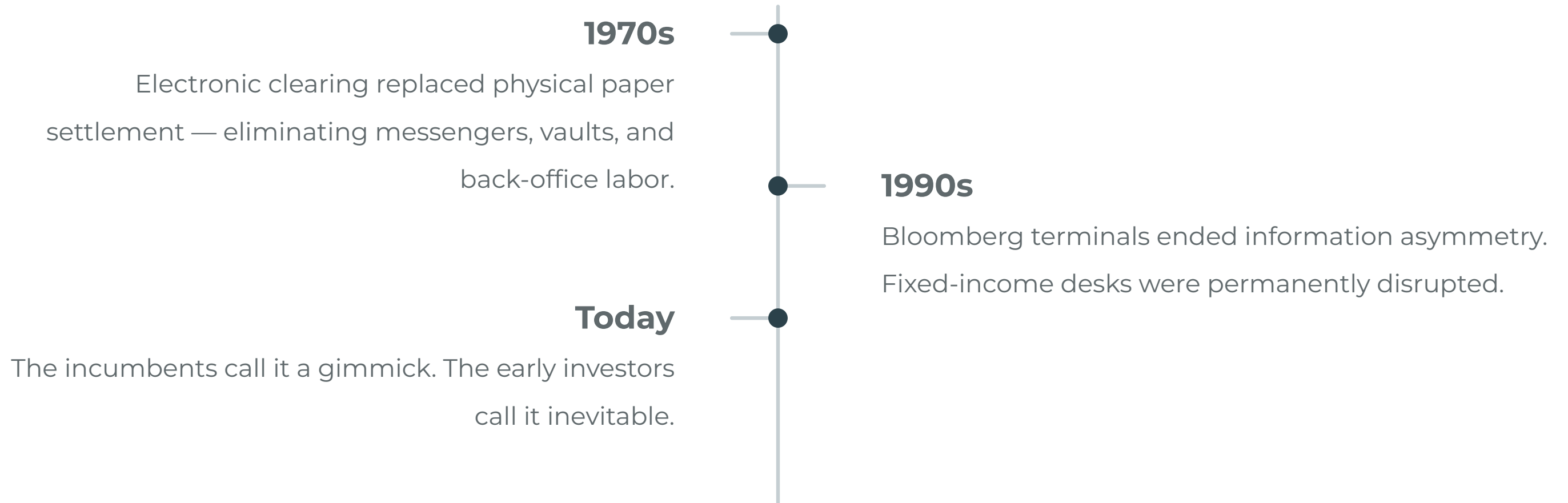
The Platform Shift

Platform shifts create generational wealth, but only for those who invest into the dislocation.



Every Generation Has One

A moment when the underlying infrastructure of capital markets isn't improved: it's **replaced**.



📌 **We are at that moment again.**



Software Is Eating Capital Markets

Marc Andreessen wrote that software eats every industry — leaner, faster, cheaper, borderless. Capital markets are next. The software doing the eating is called **DeFi**.

The core functions of capital markets — trading, lending, borrowing, leverage, derivatives, yield — already exist onchain. They run **24/7/365**, settle in seconds, and require no prime broker, no custodian, no clearing house.

What DeFi Replaces

- | | |
|------------------|-----------------------|
| → Prime Broker | → Custodian |
| → Clearing House | → 3-point banker fees |

❏ **DeFi isn't a replacement for capital markets. It is capital markets: running on better infrastructure.**

Public + Private Sector Alignment

When both Wall Street and Washington agree, the outcome is inevitable.

Private Sector Is Building

- **BlackRock BUIDL:** \$2B+ tokenized treasury fund deployed on Ethereum mainnet
- **PayPal PYUSD:** Stablecoin processing billions in monthly transaction volume
- **Robinhood:** Tokenized stocks and prediction markets infrastructure
- **Visa:** Settling transactions natively on Ethereum and Solana networks
- **Stripe:** Stablecoin settlement on track to overtake ACH in 24 months

Public Sector Is Going on Offense

"We are at the threshold of a new era... launching Project Crypto to enable America's financial markets to move on-chain"

— SEC Chair Atkins

"We will use stablecoins to maintain U.S. dollar dominance... this will lead to a surge in demand for US Treasuries"

— Treasury Secretary Bessent

The smart money is moving. The window is closing.



Public + Private Sector Alignment

When both Wall Street and Washington agree, the outcome is inevitable.

Private Sector Is Building

Public Sector Is Going On Offense



 Senior Manager-Digital Product Management ✓ AMEX New York, NY (Hybrid)	 Director, Account Management, Digital Platforms ✓ MasterCard San Francisco, CA (Hybrid)
 Senior Manager, Crypto Business Development ✓ PayPal Texas, United States (Remote)	 Crypto Trade Associate ✓ Morgan Stanley South Jordan, UT
 Crypto Sales & Partnerships Opportunities ✓ Visa San Francisco, CA (Hybrid)	 Lead Software Engineer - Blockchain Developer ✓ JPMorgan - XML Jersey City, NJ (On-site)
 Senior Product Manager - Crypto Solutions ✓ PNC Bank N.A. Philadelphia, PA (On-site)	 Blockchain Senior Backend Engineer, Innovation Labs - VP ✓ Citi New York, NY (Hybrid)
 Digital Assets Associate ✓ BlackRock, Inc. New York, NY (Hybrid)	 Consulting - Tech Consulting - FinTech - FSO, Blockchain and AI Engineering - Senior ✓ EY

55 results United States

	Vice President/Director, Digital Assets Product Strategist ✓ BlackRock, Inc. San Francisco, CA (Hybrid) 3 connections work here 1 week ago	×
	Managing Director, Digital Assets ✓ BlackRock, Inc. New York, NY (Hybrid) 10 company alumni work here 6 days ago	×
	Vice President/Director, Digital Assets Product Strategist ✓ BlackRock, Inc. Boston, MA (Hybrid) 10 company alumni work here Viewed · 1 week ago	×
	Vice President/Director, Digital Assets Product Strategist ✓ BlackRock, Inc. New York, NY (Hybrid)	×



The Institutional Land Grab: DeFi as Strategic Infrastructure Equity

The narrative that institutional capital views DeFi as speculative venture bets ended in 2024. What we're witnessing in 2025-2026 is a deliberate, coordinated acquisition campaign where the world's largest financial institutions are securing governance rights and strategic positioning in decentralized protocols. These aren't passive investments—they're infrastructure plays by firms managing nearly \$1 trillion in combined AUM, comparable to nation-state sovereign wealth funds.



Apollo Global × Morpho

Strategic Token Acquisition: 90 million MORPHO tokens over 48-month vesting schedule

Capital Deployment: Apollo's \$650+ billion AUM positioning for on-chain institutional lending infrastructure

Strategic Rationale: Morpho provides modular, permissionless lending vaults that allow Apollo to offer yield products to clients without custody risk or banking partner dependencies. This is balance sheet optimization at scale—accessing credit markets 24/7 with programmable collateral management.



BlackRock × Uniswap

Product Integration: \$2+ billion BUIDL tokenized Treasury fund integrated into UniswapX settlement layer

Governance Investment: Strategic acquisition of UNI tokens to influence protocol development and fee structures

Strategic Rationale: BlackRock isn't just using Uniswap—it's embedding itself into the governance layer that controls the world's largest decentralized exchange. This gives BlackRock influence over trading fee policies, router optimization, and new chain deployments while providing 24/7 liquidity for its tokenized products.



Citadel × LayerZero

Infrastructure Investment: Strategic position in ZRO tokens and technical partnership

New Chain Launch: "Zero" blockchain designed specifically for high-frequency, cross-chain market making

Strategic Rationale: Citadel executes 47% of all U.S. retail equity volume. By acquiring ZRO tokens and co-developing Zero, Citadel is building a proprietary settlement layer that gives it preferential execution speed while maintaining the "decentralized" narrative that avoids regulatory scrutiny as a centralized exchange.

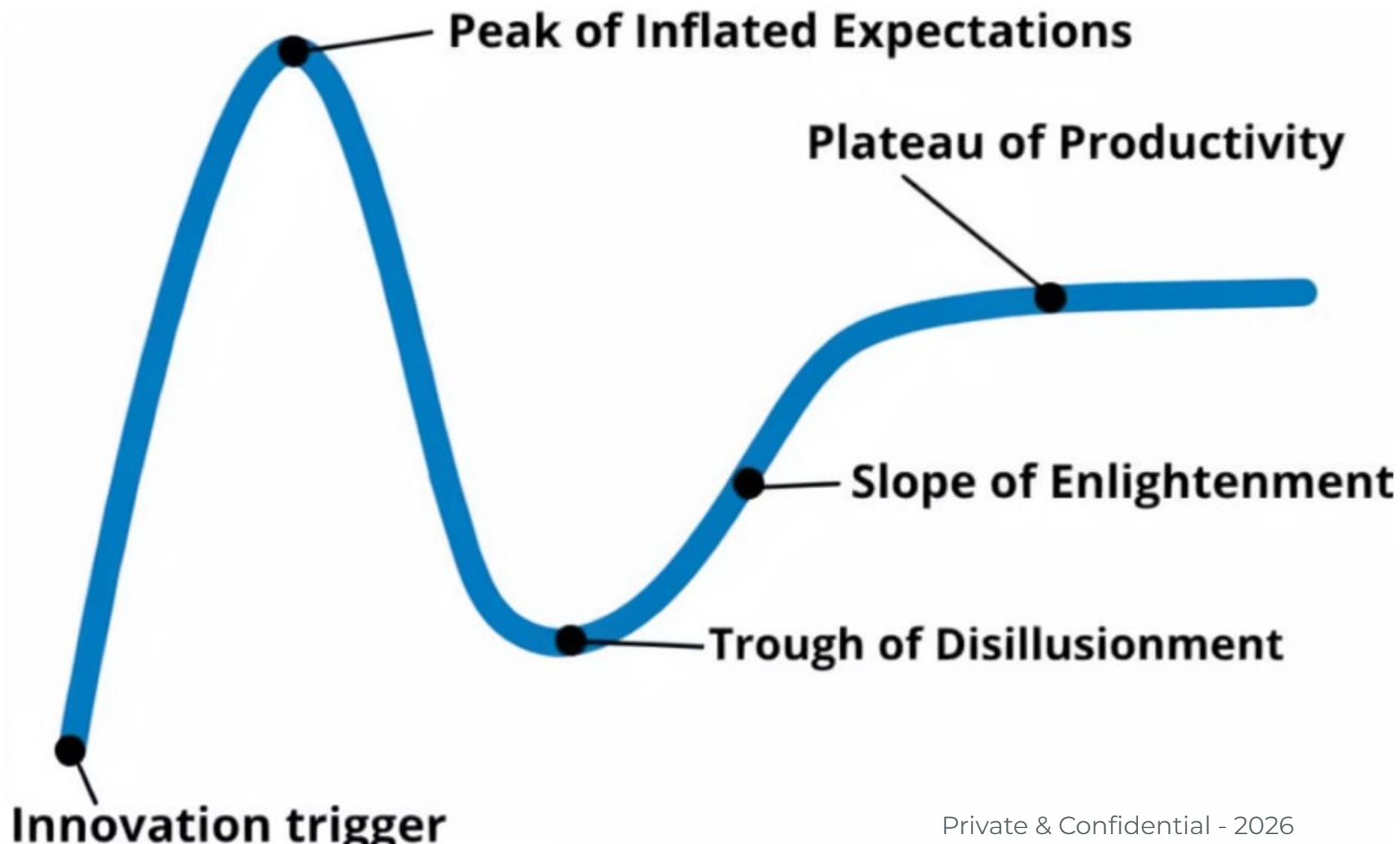
Investment Thesis Inflection Point: When firms like Apollo, BlackRock, and Citadel collectively deploy billions into governance tokens, they're not speculating on price appreciation—they're acquiring strategic equity in the settlement infrastructure that will underpin trillions in tokenized asset flow over the next decade. This is the institutional validation signal that transforms DeFi protocols from "crypto experiments" into "mission-critical financial rails."



The Trough of Disillusionment

This explains the brutal price action. It also explains the opportunity.

The Gartner Hype Cycle



Railroads (1840s)

Crashed 90% before reshaping global commerce and logistics infrastructure

Internet (2000)

Fell 90% in the dot-com crash before creating the MAG7 that dominate markets today

Today: Blockchain + AI

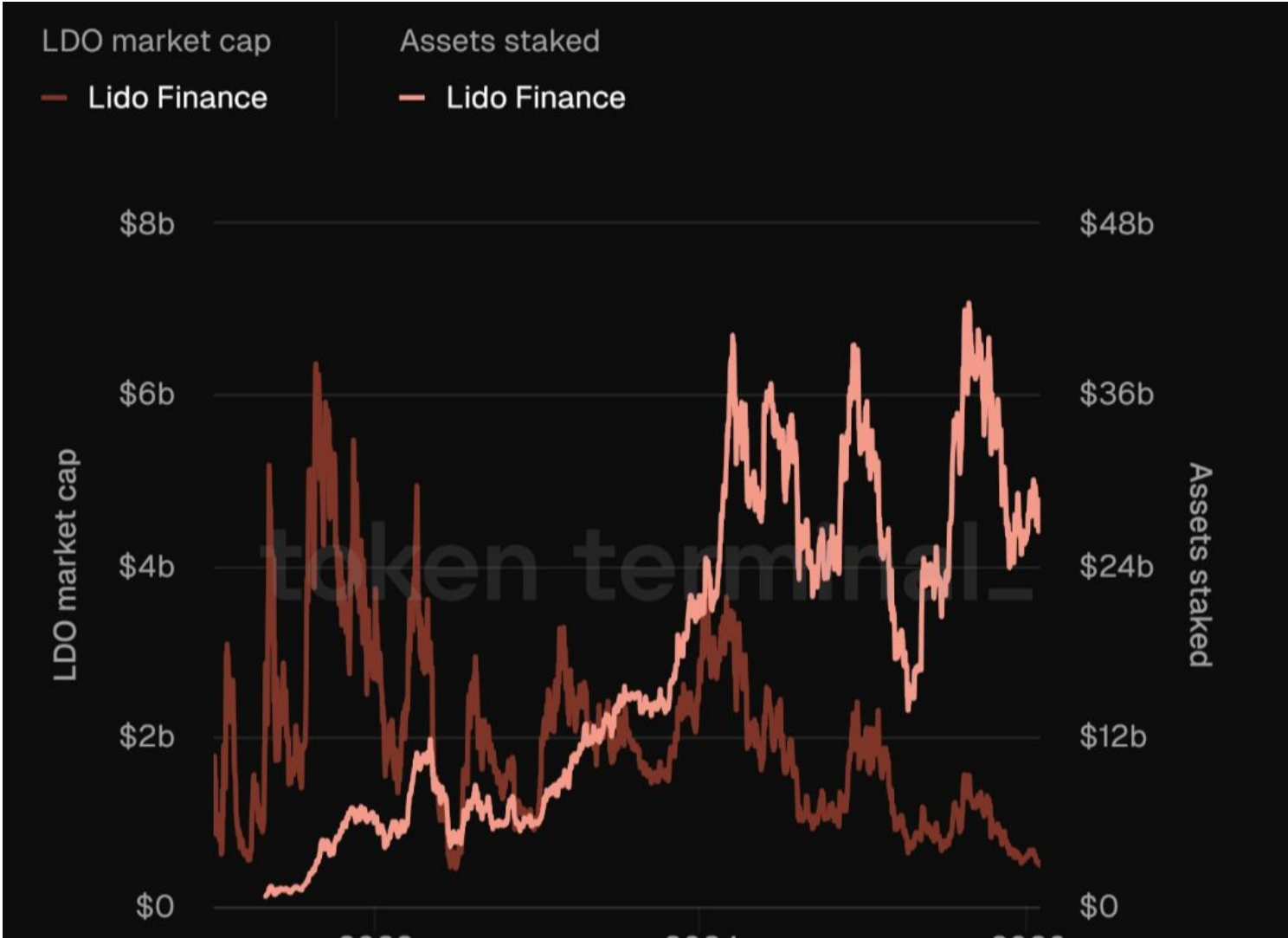
Currently in the trough—the exact moment when transformative investments are made

"This is identical to buying Amazon, eBay, and Yahoo at 90% discounts post-2000."

Market Dislocation: Record Usage, Multi-Year Lows



Assets Staked via Lido are near all time highs, while \$LDO is at multi-year lows



 Lido	
Total Value Locked	\$20.147b
Fees (Annualized)	\$699.69m
Revenue (Annualized)	\$69.97m
Holders Revenue (Annualized)	\$0
Market Cap	\$301.1m
\$LDO Price	\$0.36
Fully Diluted Valuation	\$355.04m
Outstanding FDV	\$357.38m
\$LDO Volume 24h	\$27.4m
\$LDO Liquidity	\$6.12m
Treasury	\$130.41m
Total Raised	\$167m
Annual Operational Expenses	\$16.81m

\$700M
Annual
Revenue

\$300M
Market Cap

0.43x P/S



Market Dislocation

Redacted Portfolio Assets Reveal Meaningful Pricing Dislocations

Opportunity	Annual Vol	Annual Fees to Holders	Fee Yield	MC to Fee Multiple	TradFi Comp Multiple
DEX Infrastructure	\$130B	\$97M	26.3%	5.8X	25X
Liquidity Infrastructure	\$1.1B	\$5.8M	15.2%	5.5X	20X
Derivatives Venue	\$57M	\$4.1M	21.4%	0.35X	25X

Note: Fee yields represent trailing 12-month fee revenue divided by current market cap

Why this mispricing exists

Institutional Blind Spots

Most participants don't yet recognize "governance tokens" as productive financial assets with cash flow rights.

Capital Inefficiency

The market underweights the "market making as a service" model, which allows protocols to earn fees without deploying their own capital.

Regulatory Compression

General uncertainty has suppressed all crypto valuations, creating an opportunity to buy five-year-old, revenue-generating systems at the same price as day-one speculative launches.

Traditional finance would value these same assets at 10–50x current multiples.





Why Now? The Four Catalysts

Four structural shifts make DeFi infrastructure inevitable:

1

Regulatory Clarity

2

Stablecoins as Dominant Settlement

3

Tokenization of Everything

4

AI Agents as Power Users

These aren't predictions. They're already in motion.

#1 - Regulatory Clarity and Normalization

DeFi infrastructure becomes the settlement layer for institutional capital migration.

Probability: 70% within 12 months

“We are at the threshold of a new era in the history of our markets... today I am announcing the launch of ‘Project Crypto’—a Commission-wide initiative to modernize the securities rules and regulations to enable America’s financial markets to move on-chain.”

- SEC Chair Paul Atkins, July 2025

A key priority is developing a "rational regulatory framework" for crypto asset markets, including issuance, custody, and trading of crypto assets (with tokenization as a core focus to keep the U.S. as the "crypto capital of the planet").

- SEC Chair Paul Atkins May 2025



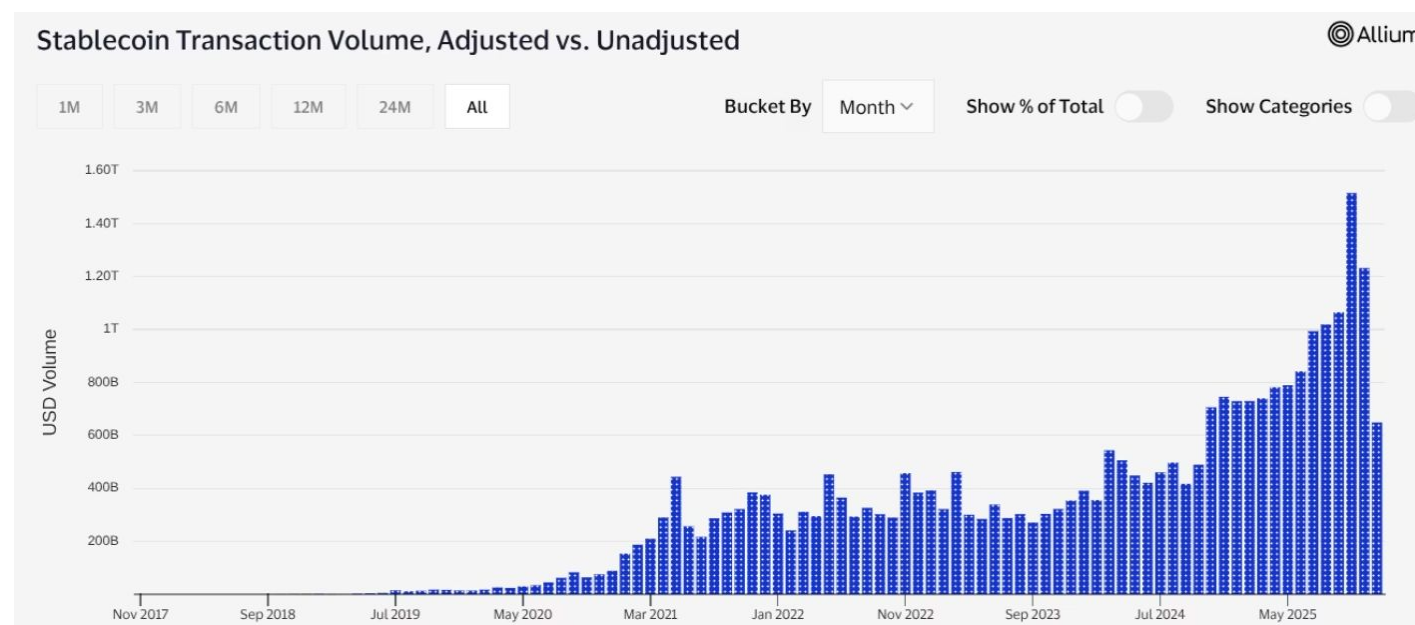
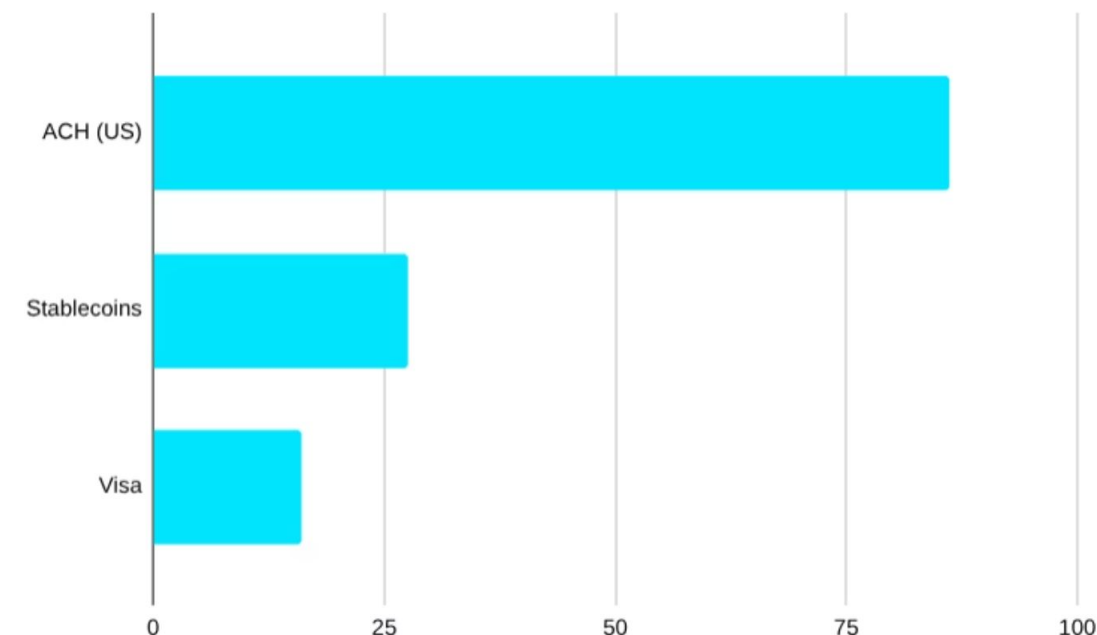
#2 - Stablecoins Becoming The Dominant Global Settlement Medium

Already the second largest surpassing Visa, the current trajectory projects stablecoin volume surpassing ACH to become the largest settlement medium within the next 24 months

Probability: 90% within 24 months

“Stablecoins represent a revolution in digital finance. The dollar now has an internet-native payment rail that is fast, frictionless, and free of middlemen. This groundbreaking technology will buttress the dollar’s status as the global reserve currency, expand access to the dollar economy for billions across the globe, and lead to a surge in demand for US Treasuries, which back stablecoins. The GENIUS Act provides the fast-growing stablecoin market with the regulatory clarity it needs to grow into a multitrillion-dollar industry. The signing of this bill marks a seminal moment for digital assets and dollar supremacy.”

- US Treasury Secretary Scott Bessent, Nov 2025



#3 - The Tokenization of Everything

"We are at the beginning of the tokenization of all assets."

— Larry Fink, CEO BlackRock (October 2025)

Every financial asset is moving on-chain. The question isn't if—it's when.

In a December 2025 op-ed in *The Economist*, Fink and BlackRock COO Rob Goldstein wrote:

"Tokenization... could advance at the pace of the internet—faster than most expect, with enormous growth over the coming decades."

What this means:

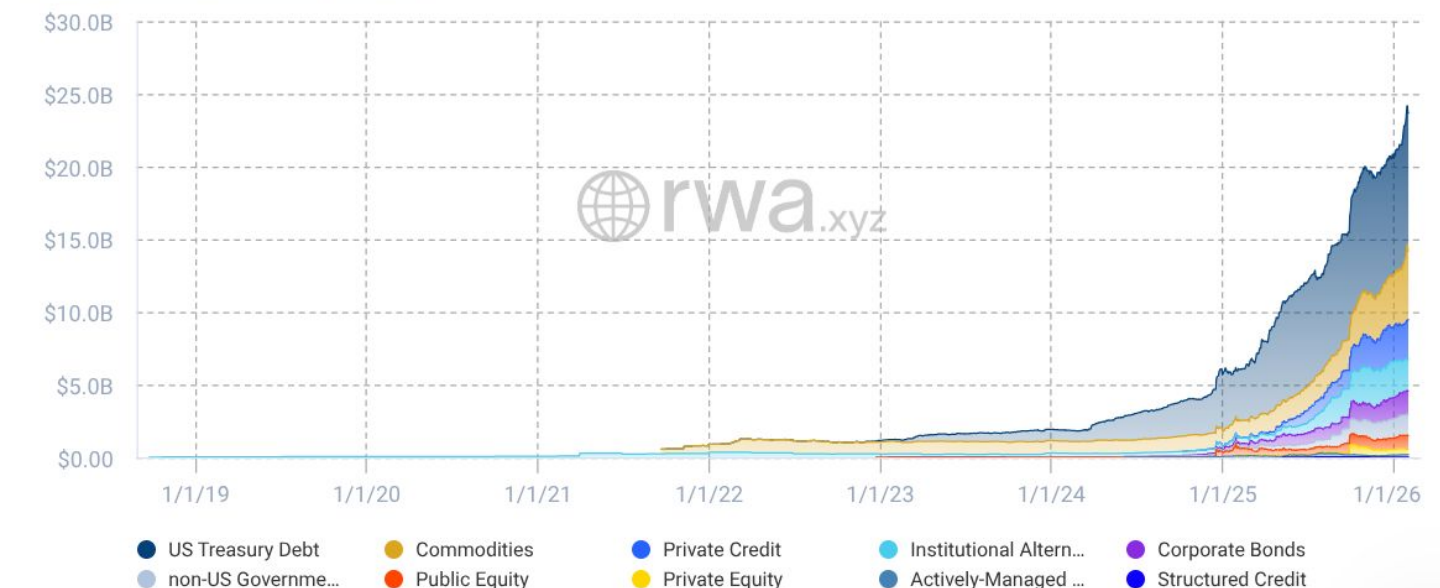
- Real estate, private equity, bonds, commodities—all becoming programmable
- \$867 trillion in global assets moving to blockchain rails
- DeFi protocols become the infrastructure layer for this transition

Total RWA Value

Asset Type **Distributed** Represented All

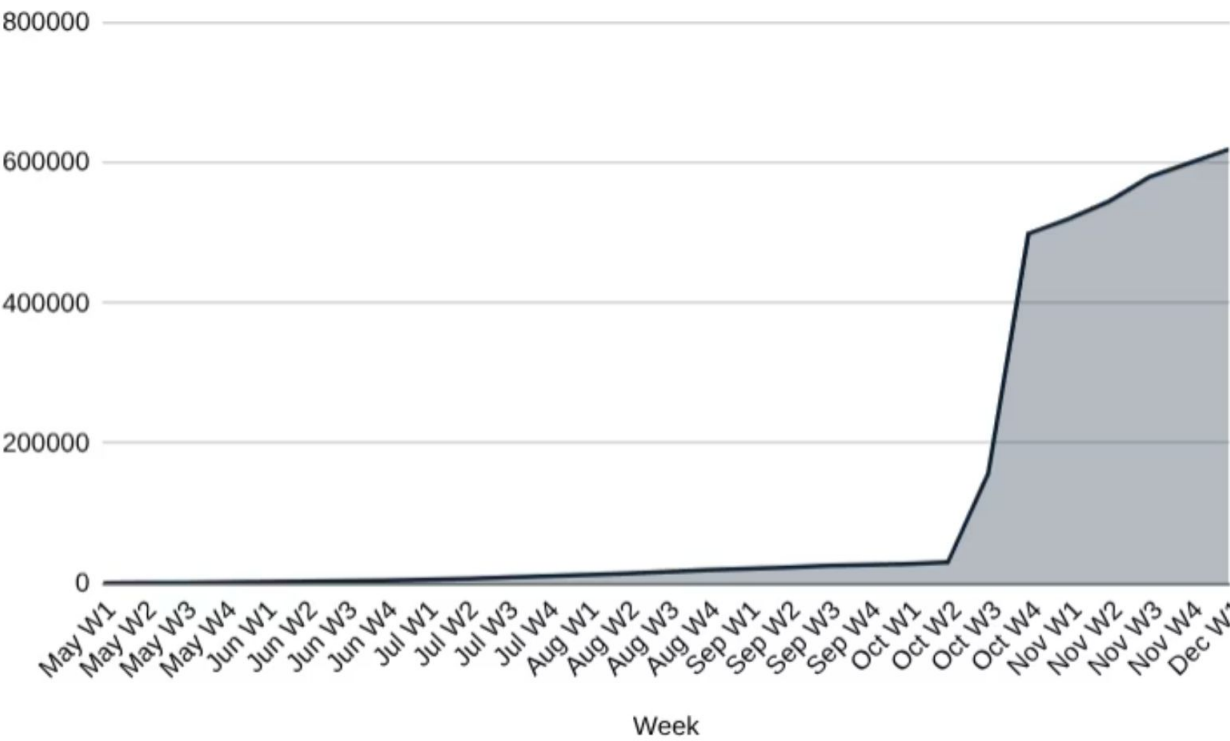
Metric **Total Value** Asset Holders Active Addresses Transfer Volume

☐ Include Stablecoins
Include stablecoins, cash and cash-equivalents



#4 - AI Agents Will Become Structural Users of DeFi Infrastructure

x402 Transactions By Week 2025



AI agents need 24/7 liquid, programmable infrastructure.

Adoption of Coinbase-authored the x402 AI Agent payment standard started taking off in Q4 2025

Probability: 40% within 24 months

Agent activity increases transaction frequency and capital efficiency demands exponentially



AI Agents: The Undervalued Demand Layer

While the market has aggressively priced AI compute infrastructure, the autonomous agents that will generate actual usage and transactions remain dramatically undervalued. This represents a structural mispricing in how AI value creation will flow through the economy.

What AI Agents Are

Autonomous software systems that don't just generate outputs - they **execute actions**, coordinate transactions, and operate independently across blockchain rails, APIs, and smart contracts.

Mental model: AI models think. AI agents *act*.

The Valuation Gap

NVIDIA: 20-30× revenue, 40× earnings, pricing in massive AI adoption

On-chain AI agents: ~1.6× revenue despite being closer to actual usage layer

Compute is priced for demand. Agents *are* that demand, but aren't priced for it yet.

The Catalyst

AI agents are always-on, programmatic, and scalable without linear headcount. As adoption scales, they become the most frequent transactors and dominant fee generators.

The asymmetry: Infrastructure multiples without infrastructure pricing, while creating exponential new demand for DeFi infrastructure.

Investment Insight: AI models may be expensive to build and operate—but the autonomous agents that use them are not priced accordingly. This structural mispricing creates asymmetric upside as agent usage scales and multiples re-rate toward infrastructure or fintech-like valuations.





We acquire interests in high-yielding, cash flowing infrastructure protocols at compressed fundamental multiples

capturing the valuation arbitrage between decentralized rails and legacy fintech peers handling equivalent transaction volumes.



Productive Capital Assets, Not Speculative Tokens

The Myth:

- Speculative Trading
- Token price appreciation

The Reality:

- Ownership in financial infrastructure
- Cash flow rights
- Strategic capital routing

Similar to owning equity in NASDAQ or the DTCC



We Own The Perpetual Toll Road

Cash Flows from Growing On-Chain Finance

Visa, JPM and Citadel dominate by acting as toll roads on capital. Governance tokens replicate this model in on-chain markets.

Buying protocols processing \$Billions annually at liquidation prices.

We're acquiring these assets to hold in perpetuity for permanent cash flows.



Early Payment Infrastructure - The VISA Analogy

1970's - 1980's Visa/Mastercard Today's DeFi Infrastructure

- Processing billions in transaction volume
 - Generating fee revenue from every transaction
 - Building network effects and scale
 - Traded at modest valuations prior to a structural re-rating as essential infrastructure
 - Market didn't understand the moat
- Processing \$100B+ in annual volume
 - Generating fee revenue from every transaction
 - Building network effects and liquidity moats
 - Trading at 5-10x fee revenue multiples
 - Market doesn't recognize them as financial infrastructure

Early payment networks were initially priced as niche utilities. As markets recognized them as essential financial infrastructure, valuation multiples expanded dramatically - driving 50–100× equity repricing.



SAME BUSINESS. BETTER ECONOMICS.

Two Trading Venues. One Winner.



NYSE — Founded 1792

6.5 hrs/day · T+1 settlement · 8,000+ employees ·
\$20T volume · \$4.8B revenue



Aerodrome — Founded 2023

24/7/365 · Seconds to settle · ~20 contributors ·
\$330B volume · \$90M+ revenue

Both are, at their core, the same business: **a toll road on capital movement**. One runs on two centuries of physical infrastructure. The other runs entirely in smart contracts.



The Numbers Don't Lie

Metric	NYSE (via ICE)	Aerodrome
Founded	1792	2023
Annual Volume	~\$20 trillion	~\$330 billion
Annual Revenue	~\$4.8B	~\$90–200M
Revenue per \$ Volume	~2.4 bps	~5–25 bps
Operating Hours	6.5 hrs/day, 252 days	24/7/365
Settlement	T+1	Seconds
Headcount	8,000+ (ICE)	~20 contributors
Access	U.S.-listed only	Global, permissionless



Aerodrome earns more per dollar of volume than the NYSE. The revenue gap is purely a function of time — NYSE had 230 years to build its network effects. Aerodrome has had two.



The cost structure is incomparable. ICE employs 8,000+ and carries \$20B in debt. When Aerodrome scales, virtually all incremental revenue flows to protocol participants.

AERO Holders Earn: **36.2%**



Democratizing the "Moat": Liquidity as a Public Utility

The traditional financial system's most valuable asset isn't technology or talent—it's the massive balance sheets that enable market-making. For decades, this capital intensity created an impenetrable moat around institutions like JPMorgan and Goldman Sachs, allowing them to extract premium fees while retail participants remained locked outside the value chain. DeFi fundamentally disrupts this paradigm by transforming liquidity provision from an exclusive privilege into a programmable, permissionless utility.

"In TradFi, you pay for the bank's liquidity. In DeFi, the protocol pays you for yours."

Legacy Gatekeepers: The Fortress Model

Balance Sheet Dependency

Traditional market makers require billions in proprietary capital to warehouse inventory and facilitate trades. This creates astronomical barriers to entry—only institutions with trillion-dollar balance sheets can compete.

Value Extraction at Scale

JPMorgan, Goldman Sachs, and Citadel capture spreads, lending premiums, and custody fees. Liquidity providers (pension funds, asset managers) receive minimal yield while intermediaries pocket the majority of economic rents.

Opacity & Control

Pricing mechanisms remain black boxes. Execution quality varies by client tier. The infrastructure itself is proprietary, creating vendor lock-in and limiting innovation.

Automated Protocols: The Digital Engine

Code-Based Liquidity Pools

Automated Market Makers (AMMs) replace human intermediaries with algorithmic pricing curves. Anyone—from retail traders to DAOs—can deposit assets into smart contract pools and become a liquidity provider.

Pro-Rata Fee Distribution

Every swap generates a fee that flows directly back to liquidity providers based on their pool share. No executives, no headquarters overhead—just mathematically enforced revenue sharing programmed into immutable code.

Transparent & Composable

All transactions settle on-chain with full auditability. Protocols integrate seamlessly, enabling developers to build sophisticated financial products on top of this shared liquidity infrastructure.

This architectural shift doesn't just reduce costs—it fundamentally redistributes power. The same economic moat that once protected Wall Street's oligopoly now becomes a democratized utility layer, accessible to any participant with capital and technical literacy. For strategic investors, this represents a rare opportunity to acquire equity in the infrastructure itself before the market fully reprices these assets as essential financial rails.



Case Study: Ethereum Stablecoin Infrastructure

"Tokenization is inevitable, and the future points toward one common blockchain."

— **Larry Fink, CEO BlackRock** (World Economic Forum, January 2026)

BlackRock means Ethereum. That's where they build everything.

If Ethereum becomes the global settlement layer, we want its critical infrastructure.

Our Position: Ownership of the Leading Stablecoin Trading Venue on Ethereum

The Asset

- #1 venue for stablecoin liquidity on Ethereum mainnet
- Processes billions in monthly transaction volume
- Battle-tested security and operational track record

The Opportunity

26.3%

**Current Yield
APY**

From real protocol revenue, not incentives

52%

**Discount to
Book**

Must nearly double to reach par

BlackRock is building on Ethereum. We're investing in the infrastructure beneath it.



Yield Is A Native Feature of DeFi, Not A Speculative Byproduct

Target: 20%-30% annual cash flow

from real fee revenue

Current portfolio examples:

36.2%

\$AERO

26.3%

\$redacted

These yields are at historic lows and expected to increase as on-chain liquidity and demand grows.

Cash flow returns principal in 4-5 years, with VC-style upside additive on top.



Strategy & Portfolio

Investment Criteria

Mandatory: Real fee revenue, proven PMF, and secure governance mechanics.

Risk Management

- 0% exposure to unaudited contracts
 - Max 15% NAV per protocol
 - No directional leverage (no perps, margin, or price-exposed leverage; limited use of over-collateralized protocol-native yield strategies may be employed)
-

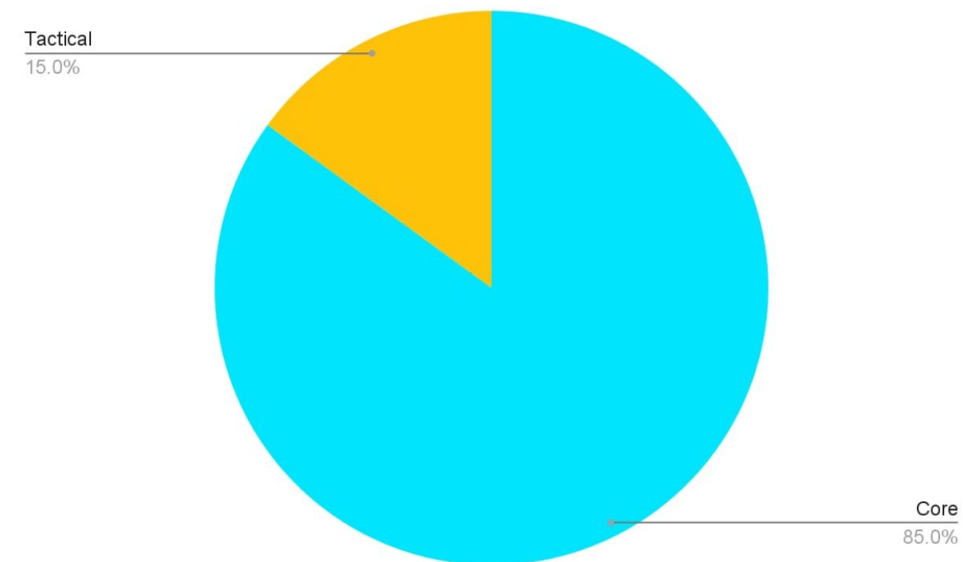
Return Scenarios

Base: 20-30% Yield

Upside: 3-10x

Outlier: 20-100x potential

Portfolio Construction



Tactical: AI agents, AI infra and bootstrap opportunities.

Core: Yield-bearing DEXs, lending, and stablecoin engines.

Terms

Fund Structure:

- Delaware LP, US GP and Manager
- 3(c)(1) structure - US accredited investors
- Offshore feeder for non US investors

Fees & Alignment

Management Fee: 2% (quarterly, in arrears)

Performance Fee: 20% over 8% non-compounding hurdle

High Water Mark: Perpetual per investor

Fund Terms Summary

Target Fund Size: \$25M

Hard Cap: \$50M

Minimum ticket: \$250K

First Close: March 31, 2026

Redemptions: Annual windows March 31

First redemption: March 31, 2027

Notice period: 90 days

Fund gate: 25% annually

Redemption Fees: none

Platforms: CAIS and iCapital for RIA access



Team



JJ Joseph (CIO):

- Former Principal at In-Q-Tel (strategic venture arm of US intelligence community)
- 8 years, 16 investments, 65% IRR across portfolio
- Notable exits: Keyhole (acquired by Google → Google Earth), Visual Sciences
- Founder of SmartFunds (institutional tokenization platform)
- Previously managed Yield Farming Fund (DeFi strategy)



Jonathan Mirabito (COO):

- Operations expert from hedge fund and international family office background
- Responsible for fund operations, service provider coordination, and investor reporting
- Ensures institutional-grade processes and risk controls



John Moffitt (CTO):

- Systems architect and co-founder of SmartFunds
- 16+ years combined team experience; operating in DeFi since 2017
- Responsible for platform reliability, security architecture, and technical systems



Operational Infrastructure

Service Providers

- Fund administrator: NAV Consulting (crypto native)
- Legal Counsel: Raines, Feldman and Littrell (crypto-experienced)
- Auditor: Richie May (pending engagement)
- Custody: Fireblocks.: The institutional gold standard in-depth architecture which combines MPC-CMP cryptography with Intel SGX hardware isolation to eliminate single points of failure and ensure 100% asset sovereignty. Fireblocks has protected over \$10 trillion in transfers with real-time governance policy

Why Epoch?

- We built the tokenization infrastructure this fund invests in (SmartFunds: first natively tokenized Reg D offering, 2023)
- 34+ years combined experience in digital assets and venture capital
- Security-conscious approach from building secure smart contracts and on-chain architectures
- Network access to protocol teams for due diligence and early positioning

We're not crypto tourists. We've been building the infrastructure this fund invests in.



Closing

The real risk isn't investing in DeFi.

The real risk is not having exposure to the new financial system when the repricing happens.

Target Initial Close

Q2 2026

Target Final Close

Q3 2026 (accepting commitments first come up to \$25M hard cap)

Contact

jj@epochdigitalfund.com

Meeting Link

<https://bit.ly/4qIXV7P>

Thank you!



Important Disclosures

This presentation is for discussion purposes only and does not constitute an offer to sell or a solicitation of an offer to buy any securities. Any investment in the fund involves significant risk and may result in the loss of your entire investment.

Past performance is not indicative of future results. The projections and estimates contained herein are forward-looking statements based on current expectations and assumptions and are subject to change.

An investment in the fund is suitable only for sophisticated investors who can afford to lose their entire investment. Investors should carefully review the fund's offering documents before making an investment decision.

The Fund may utilize over-collateralized decentralized finance protocols that involve borrowing and lending mechanisms as part of yield-generation strategies.

Appendix

Return Framework

Programmed de-risking designed to recover invested principal within ~4 years.

Base Case

(1 year)

- 25% yield from core holdings = +25% return
- 0% price appreciation
- Total: 25% annual return

Moderate Adoption Case

(3 years)

- 25% annual yield from core holdings x 3 years = 75% cumulative
- Core holdings 3X - 200% gain
- Blended return = 2.75X (54% IRR)

Realistic Upside Case

(5 years)

- 25% annual yield from core holdings x 5 years = 125% cumulative
- 1-2 positions 50X = portfolio-level 8-10X
- Blended return = 8X-10X (55%-65% IRR)

Performance fee: 20% only on realized gains above 8% hurdle



Future-Proof Financials

Epoch does not change your exposure to the financial sector - it upgrades the infrastructure underneath it.

Most portfolios already allocate heavily to banks, brokers, and payment networks. Epoch allows LPs to retain that exposure while modernizing how financial revenue is captured.

The Problem: Legacy Financial Exposure

Custodial Drag: Investors pay banks for custody and settlement while earning low net yields.

Fee Leakage: Economic value accrues to intermediaries (banks, brokers, market makers), not asset owners.

Manual Settlement: T+2 processes introduce friction, cost, and operational risk.

The Epoch Upgrade

Infrastructure Ownership: LPs become owners of automated settlement and liquidity rails.

Reduced Overhead: Fees are internalized by the protocol rather than extracted by intermediaries.

Real-Time, Programmatic Settlement: T+0 execution enforced by code, not institutions.

Epoch upgrades financial exposure from legacy intermediaries to ownership of the automated settlement layer.



Portfolio Optimization: Where does Epoch fit in my book?

Portfolio Metric	Legacy Portfolio (40/40/20)	Strategy A: Alts Rotation	Strategy B: Hybrid Sector Swap	The Illustrative Impact
Capital Allocation	Status Quo (Legacy)	Replace 2.5% PE/RE	Replace 1.25% Eq / 1.25% Debt	Strategic Optimization
Public Equities (40%)	\$4,000,000	\$4,000,000	\$3,875,000	Retiring Legacy Beta
Fixed Income (40%)	\$4,000,000	\$4,000,000	\$3,875,000	Retiring "Customer" Debt
Legacy Alts (20%)	\$2,000,000	\$1,750,000	\$2,000,000	Rotating Illiquid Assets
Epoch Infrastructure	\$0	\$250,000	\$250,000	+2.5% Owner Rights
Projected Sector Yield	~5.8% (Weighted)	15.00%	15.00%	+920 bps Yield Pickup
Annualized Return	6.90%	7.11%	7.15%	+\$25k Annual Income
Volatility (Std Dev)	8.30%	8.05%	8.15%	-1.8% to -3.0% Risk Redux
Portfolio Sharpe Ratio	0.47	0.51	0.53	+12.7% Efficiency Gain



The old way:

Traditional Finance (TradFi): The "Gatekeeper" Model

TradFi is a centralized, hierarchical system where value is controlled by intermediaries—banks, brokers, and clearinghouses—who act as the exclusive "gatekeepers" of global capital.

How it Works

In TradFi, you are a **customer**. You deposit capital into a bank; they **use your liquidity to make massive profits** through lending and market-making, while returning a fraction of those earnings to you in the form of low-interest yield.

The Flaw

The system is "Closed-Loop." You provide the fuel (liquidity), but the "Gatekeepers" own the engine (infrastructure) and capture the majority of the value.

LP Status

Passive Participant. You are external to the infrastructure.



Why DeFi...

Decentralized Finance (DeFi): The "Owner-Operator" Model

DeFi is a global scale peer-to-peer financial system built on open-source, automated code (Smart Contracts) that replaces centralized institutions with transparent, programmable value layers.

How it Works

In DeFi:

Liquidity Provider (LP): supplies capital, earns fees/incentives

Governance Token Holder: owns governance equity, votes on emissions, upgrades, and economic policy

The Advantage

The system is "Open-Loop." By holding governance tokens, LPs own the "Digital Rails" themselves. You decide where capital flows, you vote on protocol upgrades, and you capture the **full economic value** of the transaction fees that used to go to bank executives.

LP Status: Infrastructure Owner. You are internal to the engine.



How it works...

Strategy A: The "Liquidity Upgrade"

The Rotation: We move capital from illiquid, 10-year Real Estate/PE funds into **Epoch's annual liquidity structure**.

The Result: You capture an **850 bps yield pickup while reducing total portfolio volatility**. You are essentially trading "empty" illiquidity for "productive" infrastructure cash flow.

Strategy B: The "Efficiency Optimization"

The Swap: We remove the "middleman drag" from the Financials bucket (Bank stocks/debt) and replace it with **Strategic Equity** (The Rails).

The Result: This produces the strongest improvement in risk-adjusted returns. By swapping legacy financial exposure for digital settlement exposure, you increase the portfolio's return-per-unit-of-risk by **12.7%**.



The Three Pillars of Epoch Strategic Equity

Epoch reframes governance tokens as **Strategic Equity**: an asset class that confers **programmatic influence over the economic and technical rails** of decentralized financial infrastructure. Rather than passive exposure, Strategic Equity provides **control rights** over how capital flows, how reserves are deployed, and how the system evolves.

01

Dynamic Capital Steering (DCS): Control the Flow

The proprietary right to direct global liquidity

The Alpha: We own the "steering wheel" for billions in third-party capital. By dictating the priority lanes of the financial highway, we capture maximum incentive premiums and fees without exposing principal to market-making risks.

02

Protocol Treasury Governance: Influence the Balance Sheet

Strategic Equity confers governance rights over protocol treasuries - the reserves that underpin long-term sustainability, incentives, and ecosystem investment.

The Alpha: These rights function as a **digital board seat**: enabling influence over capital allocation decisions such as buybacks, emissions policy, grants, and reinvestment—optimizing treasury deployment in alignment with LP outcomes.

03

Stewardship Rights: Shape the Long-Term Settlement Layer

Strategic Equity holders participate in governance over protocol upgrades, integrations, and economic design.

The Alpha: By supporting high-leverage innovations (e.g., AI-native interfaces, composability standards) and maintaining architectural coherence, we help ensure the protocol remains a **preferred settlement layer** as the ecosystem scales - preserving long-term relevance and defensibility.





AERODROME

Market Making-as-a-Service

A Case Study: Capital Efficient Revenue Generation

What Aerodrome Does:

Aerodrome is a decentralized exchange where **projects compete to attract liquidity**, and **token holders get paid for deciding where that liquidity goes**.

Instead of banks or market-making firms controlling markets:

- The protocol pays **participants**
- Governance determines **which markets get liquidity**
- Revenue flows directly to token holders

AERO Holders Earn:

Current APY: 36.2%

Capital Required: **None** beyond exposure to the token

Why This Is Capital Efficient

- No active trading required
- No balance sheet risk
- No market-making inventory
- No leverage

This is **market making as a service**: the protocol coordinates incentives, and token holders capture the economics.

Instead of paying Goldman Sachs to make a market, projects pay the protocol — and token holders earn the fees.

